

RESOLUTION NO. _____

ENTITLED: “A RESOLUTION APPROVING WATER AND SANITARY SEWER SERVICES, BY OUTSIDE USER WATER AND SANITARY SEWER SERVICES AGREEMENTS, FOR WYOMING KING GOLD MINING COMPANY, INC., FOR ALL SECTION 36, T14N, R70W OF THE 6TH P.M., LARAMIE COUNTY, WYOMING.”

WHEREAS, State of Wyoming is the owner of the property in Laramie County, Wyoming, more specifically described as:

Section 36, Township 14 North, Range 70 West, of the 6th P.M., Laramie County, Wyoming; and

WHEREAS, Wyoming King Gold Mining Company, Inc. (Gold King Corp) submitted application to the Board of Public Utilities (“BOPU”) for water and sanitary sewer services outside of the corporate limits of the City of Cheyenne for the above-referenced properties; and

WHEREAS, pursuant to Resolution No. 3577, BOPU was instructed to present to the Governing Body for its review any application for the provision of water and/or sanitary sewer services to any individual or entity outside the corporate limits of the City of Cheyenne; and

WHEREAS, BOPU has reviewed and approved the application submitted by Gold King Corp, and BOPU and Gold King Corp will execute Outside User Water and Sanitary Sewer Services Agreements upon approval by the Governing Body pursuant to Resolution No. 3577; and

WHEREAS, the Governing Body has reviewed the applications for water and sanitary sewer services submitted by Gold King Corp and has determined that approval is in the best interest of the City of Cheyenne.

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING, that the application submitted by Gold King Corp to BOPU for water and sanitary sewer services outside of the corporate limits of the City of Cheyenne for the property described as Section 36, Township 14 North, Range 70 West, of the 6th P.M., Laramie County, Wyoming, is hereby approved.

BE IT FURTHER RESOLVED, that BOPU and Gold King Corp are authorized to execute Outside User Water and Sanitary Sewer Services Agreements.

PRESENTED, READ, AND ADOPTED this _____ day of _____, 2022.

Patrick Collins, Mayor

(SEAL)

ATTEST:

Kristina F. Jones, City Clerk

**APPLICATION FOR
BOARD OF PUBLIC UTILITIES
WATER, SANITARY SEWER or RE-USE WATER SERVICES
OUTSIDE THE CITY OF CHEYENNE LIMITS**

- | | |
|---|---|
| ☐ Connect to City Water | ☐ Proposed Residential |
| ☐ Connect to City Sewer | ☐ Proposed Commercial |
| ☐ Existing Residential Unit | ☐ Re – Use Water (Irrigation) |
| ☐ Existing Commercial Business | ☒ <u>Connect to City Raw water line</u> |

Address or Location Description

Requesting outside water user agreement to utilize Raw water from line along County Road 210

Name of Subdivision

None

Legal Description of Area:

Water will be used at a mine located on Section 36, T14N, R70W

Map (Plat) of Area is to be attached:

Total Site Area: _____ Sq. Ft. or _____ 640 Acres

Owner: State of Wyoming Telephone: 303-495-2551

Owner's Address: Mine operator will be Gold King Corp.

Applicant/Agent: Pat Crank, Crank Legal Group, P.C.

Applicant/Agent's Address: 1815 Evans Avenue, Cheyenne, WY 82001

Crank phone number 307-630-1998

For Proposed Developments:

It is proposed that the property will be developed for the following purposes.

Raw water will be used to operate a gold mine on Sec. 36, T14N, R70W. Majority of water will be used in mill operation. Some water may be used in a potable water system at mine site with appropriate permits from regulatory authorities.

If the property is developed for commercial or industrial use, please describe in detail any chemicals or wastes that will be used at the property:

No chemicals will be discharged into any City sewer system or leach field. Anticipated chemicals to be used on site include methyl isobutyl carbinol, polyfloat 4782, polyfloat 7150, lime, and preastol.

Proposed Size(s) of the Water service connection _____ ~~inches~~ 6" meter.

Estimated Monthly Water Usage 46,833 _____ Gallons. 600 gallons per minute max

Intended Uses of Water (Restrooms, Kitchen, Manufacturing?) mine operations _____.

Proposed Size(s) of the Sewer service connection none _____ Inches. will install permitted leach field.

Sources(s) of ~~Sewerage~~ Discharge (Restrooms, Kitchen, Manufacturing?) Restrooms _____.
Leach Field

If the property is developed for commercial or industrial use, please describe in detail any chemicals or wastes that will be used at the property and or discharged to the into the sewer.

List of chemicals supplied above. No discharge to City sewer system.

- There is an application fee of \$ 350.70 that is due with the return of this application.
- Applicant must visit with the City Planning / Development Office and return the attached Clearance Form, with this Application to Board of Public Utilities Development Specialist (Linda Gunter).

SIGNATURE OF OWNER  DATE 8/1/2022
PRINT NAME Patrick J. Crank Agent for Applicant

Person(s) who should be contacted regarding the application:

Patrick J. Crank

Telephone 3074-630-1998

Additional Comments:

**APPLICATION SHOULD BE RETURNED TO
LINDA GUNTER
2416 SNYDER AVENUE
CHEYENNE, WY 82003
307-637-6497**

CLEARANCE FORM
FROM THE CHEYENNE PLANNING DEPARTMENT
FOR APPLICATION FOR OUTSIDE CITY WATER AND/OR SEWER
USER AGREEMENT

The applicant has met with a representative of the City of Cheyenne Planning and Development Office to discuss the proposed project:

The applicant has received input from the City Planning Department concerning requirements and any special conditions relating to the application for a water and/or sewer user agreement. Said requirements or special conditions discussed are as follows:

1. *This authorizes the applicant to bring the application forward for BOPU & Governing Body consideration. Conditions or stipulations may be recommended for inclusion with the Governing Body's Outside User Agreement.*
2. _____
3. _____
4. _____
5. _____



Signature of City of Cheyenne Planner

8/3/2022

Date:

RETURN THIS FORM TO THE BOPU DEVELOPMENT SPECIALIST
At the City of Cheyenne Board of Public Utilities

ASSIGNMENT
OFFICE OF STATE LANDS AND INVESTMENTS
STATE OF WYOMING - (METALLIC AND NON-METALLIC)

KNOW ALL MEN BY THESE PRESENTS: That I, WYOMING GOLD MINING COMPANY, INC., A WYOMING CORPORATION, 225 UNION BLVD., SUITE 600, LAKEWOOD, COLORADO 80228, assignor, being lessee, lessees, under that certain State of Wyoming Lease bearing Serial 0-40828 number 0-40828, and covering land situate in Laramie County, Counties, described as follows:

ALL Section 36, Township 14 North, Range 70 West, 6th P.M.

and containing 640 acres more or less, for and in consideration of the sum of Ten Dollars (\$ 10.00) in hand paid, the receipt of which is hereby acknowledged, do hereby sell, assign, transfer and set over unto CK Mining Corp., a Nevada corporation, 347 N. New River Drive East #809,

of Ft. Lauderdale, FL 33301, assignee, all rights, title and interest of assignor in and to said lease insofar as it covers the following described land:

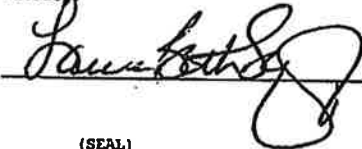
ALL Section 36, Township 14 North, Range 70 West, 6th P.M.

and containing 640 acres, more or less, reserving, however, unto assignor None

TO HAVE AND TO HOLD unto the said CK Mining Corp., its successors and assigns, subject to the terms and conditions of said lease, the grants and reservations herein contain extending to any renewal lease, substitute lease or new lease issued in lieu thereof with full effect.

IN WITNESS WHEREOF, this instrument executed this 23rd day of June, 2014

WITNESS:


(SEAL)

By

Attest

Wyoming Gold Mining Company, Inc.

Assignor-Lessee

Stephen P. Antony, President

David C. Frydenlund Secretary

ACKNOWLEDGEMENT (For use by Individual)

State of _____)
County of _____)

ss

On this _____ day of _____, A.D. 20____, before me personally appeared

_____ to me known to be the person described in and who executed the foregoing instrument, and acknowledged that he executed the same as his free act and deed.

Witness my hand and seal this _____ day of _____, A.D. 20____.

(SEAL)

Notary Public

My Commission expires:

ACKNOWLEDGEMENT (For use by Corporation)

State of Colorado)
County of Jefferson)

ss

On this 23rd day of June, A.D. 2014, before me personally appeared Stephen P. Antony, to me personally known, who, being by me duly sworn, did say that he is the President and CEO of Wyoming Gold Mining Company, Inc. and that the seal affixed to said instrument is the corporate seal of said corporation and that said instrument was signed and sealed in behalf of said corporation by authority of its Board of

Directors, and Stephen P. Antony acknowledged said instrument to be the free act and deed of said corporation.

Witness my hand and seal this 23rd day of June, A.D. 2014.

(SEAL)

August 7, 2017

My Commission Expires:

Assignment recorded in the Office of the OFFICE OF STATE LANDS AND INVESTMENTS:

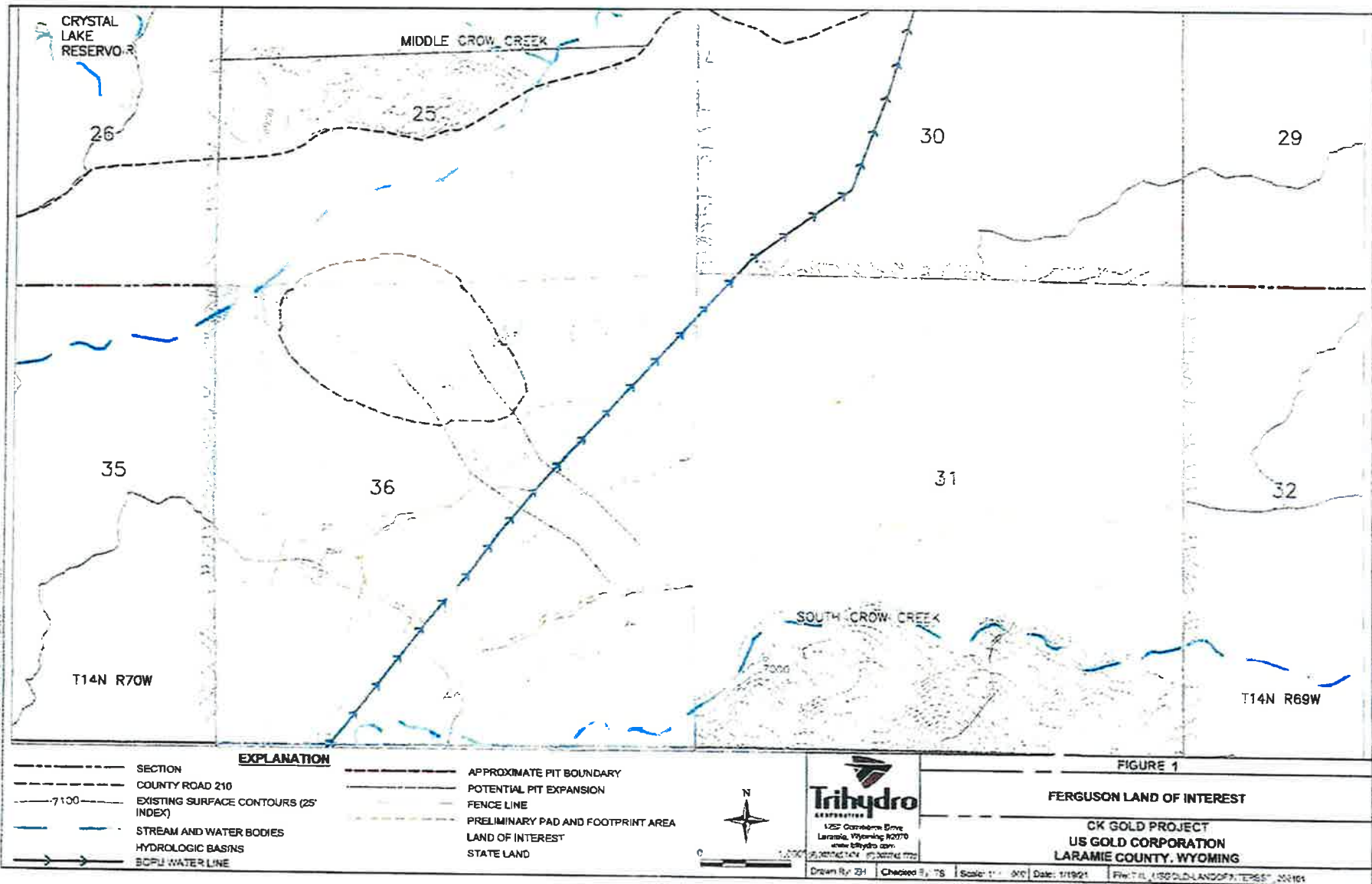
(Fee for recording this form of assignment is \$25.00. If other terms are desired incorporated in the assignment a special form should be prepared and signed copies forwarded to the OFFICE OF STATE LANDS AND INVESTMENTS in duplicate, as one copy is retained for the office record.)

LAURA BETH SCHIFF
NOTARY PUBLIC
STATE OF COLORADO
NOTARY ID 20134045223
MY COMMISSION EXPIRES AUGUST 7, 2017

Notary Public Laura Beth Schiff

APPROVED

JUN 27 2014



OUTSIDE USER WATER SERVICES AGREEMENT

This agreement made this _____ day of _____, 20____ between the City of Cheyenne, hereinafter referred to as the "CITY," a municipal corporation organized pursuant to the laws of the State of Wyoming, acting by and through its Board of Public Utilities, hereinafter referred to as the "BOPU," and Wyoming King Gold Mining Company, Inc. hereinafter referred to as the "USER(S)."

WITNESSETH:

WHEREAS the USER(S) are the current lessee of and are desirous of connecting the property described as follows to CITY water system:

Wyoming King Gold Mining Company, Inc.
Being situated in
All Section 36, T14N, R70W. of the 6th. P.M., Laramie County, Wyoming

; and

WHEREAS, the BOPU has exclusive control of all CITY owned waterworks systems and operates the same for the CITY and may furnish surplus water facilities to persons outside the CITY pursuant to WYO. STAT. § 15-7-404 (a) (1977) and Title 13 of the Cheyenne City Code.

NOW, THEREFORE, in consideration of the mutual promises and covenants herein contained, the parties agree as follows:

1. The BOPU shall allow the USER(S) to connect the above-referenced property to the existing BOPU water distribution system at points determined by the BOPU.

2. The BOPU shall provide all necessary inspections for the construction and installation of the service line connections. The USER(S) shall provide the BOPU with a certificate of compliance, signed in affidavit form by a contractor licensed in the CITY, verifying that all construction materials and trade installation of service lines, service line fittings, and termination points at or in USER(S) dwellings and at the location of the USER'(S) dwellings and at the location of the USER'(S) water meter are in accordance with applicable provisions of federal, state and local codes, laws, and/or ordinances. Specific codes in effect include BOPU'S standards, International Plumbing Codes and International Mechanical Codes. Specific reference shall be given stating that 1) there are no taps off of the service line between the water meter and the water main; 2) that a BOPU water meter has been installed; 3) a backflow prevention device has been installed; and (4) that the service lines are only servicing Wyoming Gold Mining Company, Inc. Inspection fees to be paid by the USER(S) shall compensate the BOPU at 1.5 times the then current inspection fee charged to in-CITY users. The cost of the water meters installed will be paid for by the BOPU, not the users.

3. The USER(S) shall retain ownership of all improvements from the point of tapping into the water main and shall be responsible for the maintenance, repair, and upkeep thereof. The BOPU shall retain ownership of the water meter and shall be responsible for the maintenance, repair, and upkeep thereof.

4. The USER(S) shall pay 1.5 times the BOPU water rates presently in effect for in-CITY users and shall be subject to all subsequent changes thereof. The USER(S) shall pay 1.5 times the BOPU water tap fees, system development fees and all other applicable rates and fees. In the event the BOPU negotiates a different water rate with a similarly situated user, the BOPU and USER(S) agree to adjust the water rates in a manner consistent with that negotiated with the similarly situated user. In the event the BOPU negotiates a water agreement with a district hereinafter created, the BOPU and USER(S) agree to adjust the water rates in a manner consistent with the water rates charged to the customers in said district by the water district. If annexation to

the CITY takes place, the water rate and tap fees and other such charges will be not more than those charged to all other CITY users.

5. The USER(S) hereby consents to the annexation of the above-referenced property in the event said property qualifies for annexation to the CITY in accordance with WYO. STAT. § 15-1-402 and Cheyenne City Code Chapter 1.16 as the same may be hereafter amended and, by warranty deed covenants, will require future USER(S) to consent to the terms and conditions of this agreement including the annexation of the above-referenced property which utilizes the water mains in the event said property qualifies for annexation to the CITY in accordance with WYO. STAT. 15-1-402 and Cheyenne City Code Chapter 1.16 as the same may be hereafter amended.

6. No drilling of water wells will be allowed within said property and no water wells shall be connected to the BOPU water system so long as water service is furnished by the BOPU or its successors.

7. The USER(S) shall include the affirmative covenant attached hereto as Exhibit A and made a part hereof by this reference, with appropriate book and page numbers from the filing of this agreement with the Laramie County Clerk of Deeds, in all deeds from USER(S) conveying property included in the above-referenced property and hereby assign an equal right to the CITY to enforce the same.

8. The BOPU reserves the right to increase said water rate (to 2.0 times the in-CITY rate or the maximum allowed by law) to any property or lot within the above-referenced property not annexed to the CITY if said property or lot qualifies for annexation to the CITY and the CITY requests such annexation.

9. The BOPU and CITY reserve all governmental/sovereign immunities as provided by law. The USER(S) shall indemnify and hold harmless the BOPU and CITY, their officers, agents, employees and representatives from any claim or liability arising out of the failure to comply with the terms and conditions of this agreement or from any other action regarding the construction of said water distribution and sanitary sewer systems.

10. If a provision, section, subsection, sentence, clause or phrase of this agreement is invalidated by any court of competent jurisdiction, such holding shall not affect the validity of the remainder of the agreement, which shall continue in full force and effect.

11. The terms and conditions contained herein shall be a covenant running with the land and shall extend to and be binding upon the USER(S), their heirs, devisees, personal representatives, successors and assigns.

13. This agreement contains all the agreements of the representations between the parties. None of the terms of this agreement shall be waived or modified to any extent, except by written instrument signed and delivered by both parties.

THE REMAINDER OF PAGE INTENTIONALLY LEFT BLANK

IN WITNESS WHEREOF, the parties hereto have executed this agreement on the date first above written.

BOARD OF PUBLIC UTILITIES
CITY OF CHEYENNE, WYOMING

By: _____
Bradley A. Brooks,
Director of the Board of Public Utilities
Of the City of Cheyenne, Wyoming

STATE OF WYOMING)
) ss
COUNTY OF LARAMIE)

Before me, a Notary Public in and for the state and county aforesaid, personally appeared Bradley A. Brooks, with whom I am personally acquainted, and who, upon oath, acknowledged that he is the Director of Board of Public Utilities of the City of Cheyenne, Wyoming, and that he executed the foregoing instrument for the purposes therein contained, by signing his name as such officer.

Witness my hand and official seal at office in the state and county aforesaid, this _____ day of _____, 20__.

Notary Public

My commission expires: _____

User: WYOMING GOLD MINING COMPANY, INC.

By: _____
George Bee
President, CEO and Director of
Wyoming Gold Mining Company, Inc.

STATE OF)
) ss
COUNTY OF)

Before me, a Notary Public in and for the state and county aforesaid, personally appeared George Bee, with whom I am personally acquainted, and who, upon oath, acknowledged that he is the President and CEO of Wyoming Gold Mining Company, Inc , and that he executed the foregoing instrument for the purposes therein contained, by signing his name as such officer.

Witness my hand and official seal at office in the state and county aforesaid, this _____ day of _____, 20__.

Notary Public

My commission expires: _____

EXHIBIT "A"

COVENANT

The above conveyance is expressly made subject to the terms and conditions of the USER WATER SERVICES AGREEMENT recorded in book_____ and pages_____ with the Laramie County Clerk of Deeds, such terms and conditions to be binding upon and to be observed by the Grantee(s) herein and (his, her, their) heirs, executors, administrators and assigns, and to run with and bind the land in favor of and to be enforceable by the Grantor and their legal representatives, heirs, successors and assigns including the City of Cheyenne, Wyoming. In the event of a violation or non-observance of the terms and conditions of said USER WATER SERVICES AGREEMENT, the Grantor, their legal representatives, heirs, successors and assigns including the City of Cheyenne, Wyoming, shall have the right to enforce the same including but not limited to granting consent to the annexation on behalf of the Grantee(s); and no act or admission upon the part of any of the beneficiaries of this clause shall be a waiver of the operation or enforcement of such condition.

BOARD OF PUBLIC UTILITIES
CITY OF CHEYENNE, WYOMING
****SUMMARY OF BOARD MEETING****
Monday, August 15, 2022
PAGE 1

The Board of Public Utilities of the City of Cheyenne, Wyoming assembled this day at 3:00 p.m. in the 1st Floor Conference Room of the Timothy E. Wilson Board of Public Utilities' Administration/Engineering Building, 2416 Snyder Avenue, Cheyenne, Wyoming.

Present via In-Person/Electronic Conference were:

Mary Guthrie, President	Vicki Dowdy, Compliance Supervisor
Matthew Pope, Secretary	Nathaniel Kaufhold, IPP Coordinator
Keith Zabka, Member	Jacob Ward, IPP Specialist
Allan Cunningham, Member	Brett Davis, Capital Projects Engineer I
John Edwards, Member	Erin Lamb, Administrative/Public Affairs
Brad Brooks, Director	Pete Laybourn, Cheyenne City Council
Brad Bowen, Administration Manager	Loren Eldridge-Looker, TriHydro
Matt Buelow, Water Reclamation Manager	Tim Rogers, Black Hills Energy
Kathy Kellner, Human Resources Manager	Mark Lux, Black Hills Energy
Frank Strong, Eng. and Water Resources Manager	Nathan Gron, Black Hills Energy
Elizabeth Lance, Board Attorney	Jason Hartman, Black Hills Energy
Bryce Dorr, Capital Projects Supervisor	Gov. Dave Fruedenthal, US Gold
Dennis Graham, Support Services Supervisor	Pat Crank, US Gold
Nick Dennis, WT Plant O&M Supervisor	Brandon Noble, HDR Engineering
Lynn Butts, Accounting Supervisor	

The Board approved by consent agenda:

- The minutes of the Regular Board Meeting held July 18, 2022.
- Items listed as salvage items and allow for items to be auctioned or bid per Wyo. Stat. §15-1-112. In the case no bids for any item(s) are received the item(s) may be disposed of as salvage.
- Modifications to the Work Safety Toe Boot Allowance Purchasing Policy as presented.

The Board approved the financial statements for month-end July 31, 2022, as presented. The Board approved the vouchers for payment.

The Board approved a resolution authorizing submission of an application to the Wyoming state loan and investment board for a grant from the water & sewer ARPA grant program for the Water Reclamation Facilities (WRF) hydraulic capacity project (project) in the amount of \$2,294,000.00 and authorizing the director of the board of public utilities to execute the application and all related documents.

The Board approved a resolution authorizing submission of an application to the state loan and investment board for a grant through water and sewer ARPA grant program funding for the north city zone improvements project (project) in the amount of \$3,927,097.00 and authorizing the director of the board of public utilities to execute the application and all related documents.

The Board approved the director to sign the Outside User Agreement with US Gold, contingent on the following: (1) City of Cheyenne City Council Approval. (2) Approval of reviewing agencies. (3) Agreement on SDF and water rates. (4) Agreement of abandonment of water tap at the end of the project, approximately 12 years.

The Board approved the director to execute the Agreement for Rendering Services (ARS) between BOPU and WYDOT, upon approval by BOPU attorney, to complete design and construction of water main adjustments along US-30 as part of WYDOT N561041 Project and a transfer \$20,000 from FY21 Water Improvements to a new account for the US Highway 30 Water Improvements.

PRELIMINARY – UNDER IN-HOUSE REVIEW

BOARD OF PUBLIC UTILITIES
CITY OF CHEYENNE, WYOMING
****SUMMARY OF BOARD MEETING****
Monday, August 15, 2022
PAGE 2

The Board approved and awarded the Safety of Dams Services Project Design to Schnabel Engineering in the amount of \$121,600 for the FY23 inspections and proposed Fees by fiscal year as presented.

The Board meeting adjourned into Executive Session at approximately 4:15 p.m. to discuss possible litigation matters under Wyoming State Statutes W.S. 16-4-405(a)(iii) (Matters concerning litigation to which the governing body is a party or proposed litigation to which the governing body may be a party.)

The Board meeting Executive Session adjourned at approximately 5:30 p.m.

Date: 9/9/22

WATER PURCHASE AGREEMENT BETWEEN GOLD KING CORP. AND THE CITY OF CHEYENNE BOARD OF PUBLIC UTILITIES

Comes Now Gold King Corp. ("GK"), a subsidiary of U.S. Gold Corp., a Nevada Corporation authorized to do business in Wyoming, and the City of Cheyenne Board of Public Utilities ("BOPU"), and contract and agree as follows. The parties hereby stipulate and agree that good and valuable consideration has been exchanged and that additional consideration will inure to the parties during the term of this contract.

1. GK is in the planning stages of building a Gold Mine ("Mine") near Cheyenne Wyoming. Prior to commencing mining operations, GK will need to obtain regulatory approvals from various regulatory entities, including but not limited to, the issuance of a Mine Permit ("Permit") by the Wyoming Department of Environmental Quality ("DEQ").
2. BOPU owns a 36 Inch Raw Water Line ("36 Inch Pipeline") which transports raw water from Crystal Reservoir to the City of Cheyenne along County Road 210 and the South Crow Pipeline which transports raw water from South Crow Reservoir to the 36 Inch Pipeline.
3. GK anticipates that at full operation, the Mine will utilize up to 600 gallons of raw water per minute in its mining operations. Pursuant to this Agreement, GK will purchase up to 600 gallons of raw water per minute and BOPU will supply up to 600 gallons of raw water per minute to GK out of the South Crow Pipeline. The purchased raw water can be obtained from the South Crow Creek Pipeline when water is available in the South Crow Reservoir. When raw water is not available in the South Crow Reservoir, raw water will be supplied from the 36 Inch Pipeline via the South Crow Pipeline to the mine site.
4. GK will complete designs and specifications for the reconstruction of the South Crow Pipeline from the connection to the 36 Inch Pipeline to the water service line running to the mine, the pump station at County Road 210, and required metering facility. GK will provide designs and specifications to BOPU prior to any construction commencing to connect the Mine to the South Crow Pipeline, the connection to the 36 Inch Pipeline, the pump house, and metering facility. BOPU shall provide GK with authority to reconstruct the South Crow pipeline, to construct the connection to the 36 Inch Pipeline, the pump house, and the metering facility, at GK expense. Once replaced by GK, the South Crow pipeline will be owned and maintained by BOPU. GK will own and maintain the service line from the connection to the South Crow Pipeline to the mine site

and the pump station. Easements necessary to build and utilize a pump house to pump water from the 36 Inch Pipeline to the mine site will be obtained by GK.

5. BOPU will allow GK to utilize existing BOPU easements for the reconstruction of the South Crow Pipeline from the 36 Inch Line to the mine site water service line. GK will be responsible for the easement for the water service line to the mine site, and additional easements necessary to build and utilize a pump house to pump water from the 36 Inch Pipeline to the mine site.

6. Commencing after the issuance of all permits necessary to begin mining operations, and successful financing of the project, BOPU will supply up to 600 gallons of raw water per minute via metered connection to the South Crow Pipeline to GK as needed. GK will notify BOPU when raw water purchases will commence. GK will pay BOPU for water purchased at rates in effect for outside of city raw water (1.5 times the in-city rate) at the time the water is withdrawn from BOPU pipelines. BOPU shall bill GK monthly, and all invoices shall be paid by GK within thirty days of the receipt of the invoice.

7. This agreement shall be effective ("Effective Date") upon the final signature date by the BOPU and GK. The Agreement shall run and be binding and effective against both parties to this agreement through January 1, 2037. If a Contingent Event occurs, then paragraph 8 becomes operative.

8. Contingent Events:

1. Limitation of water available to the City of Cheyenne from the Colorado River Compact :

If at any time during the term of this Agreement, there occurs any new binding regulation affecting the amount of water available to the City of Cheyenne or the BOPU via water sources regulated under the Colorado River Compact of 1922, as amended ("Compact"), affecting BOPU's water supply, the parties shall immediately meet and confer on the possible effects of the new regulation,

2. Limitation of Water available to City of Cheyenne because of Reservoir Storage Volumes:

In the event reservoir water storage volumes drop below any level shown in the table below, GK will undertake conservation measures to the corresponding levels in the table below upon notice from the BOPU.

Reservoir Storage for May 1 st			
Reservoir Storage Status	Projected Storage Capacity acre-ft	Conservation Goal Percent	Conservation required acre-ft (gpm)
Normal	25,000 or greater	5 to 10	50 to 100 (30 to 60)
Mild	19,000 to 24,999	10 to 15	100 to 150 (60 to 90)
Moderate	13,000 to 18,999	20 to 25	200 to 250 (120 to 150)
Severe	7,000 to 12,999	30 to 40	300 to 400 (180 to 240)
Extreme	Less than 7,000	50 to 60	500 to 600 (300 to 360)

Supply of Replacement Water by GK: Upon written notice to GK of additional regulation of reservoir storage volumes or Compact waters available to the City of Cheyenne, Replacement Water may be supplied to BOPU by GK at a location and via a means and manner agreed to by BOPU and GK. GK shall be credited at the water rate set in effect at the time the Replacement Water is supplied to BOPU for each gallon of Replacement Water supplied to the BOPU system. Any water charges for Replacement Water more than the water rate in effect at the time the Replacement Water is supplied to BOPU shall be the sole responsibility of GK. GK shall have the option of supplying additional raw water approved by and consistent with BOPU system operation ("Replacement Water") to the BOPU system and still withdraw up to 600 gallons of water per minute from the South Crow Pipeline if either of these events occur.

3. **Effect of Inadequate Replacement Water:** If GK cannot supply sufficient replacement water, and if such additional regulations under curtailment or reservoir storage volumes result in a good faith determination by the BOPU that the BOPU will not be able to supply water to all users of the BOPU System, the BOPU may curtail water purchases by GK in the amount of curtailment in effect for all other Commercial and Industrial users of the BOPU System and in accordance with conservation levels shown on the table above.

9. **System Development Fee:** The Parties agree that GK shall pay a System Development Fee prior to any connection to the South Crow Pipeline, 36 Inch Pipeline, and water purchases from the BOPU System begins. The System Development Fee will be calculated by using the "Large Commercial/Industrial User" Base Demand rate of 600 gallons per minute times 37.8%. No 1.5 multiplier shall be applied to this calculation based on the temporary usage being supplied to GK and that GK water tap into the BOPU system and the pump station will be abandoned and removed upon completion of mining activities and reclamation, no later than January 1, 2037. The System Development fee is being reduced to 37.8% because GK is purchasing raw water and not treated water.

10. General Provisions.

- A. **Entirety of Agreement.** This Agreement, consisting of seven (7) pages, represents the entire and integrated Agreement between the parties and supersedes all prior negotiations, representations, and agreements, whether written or oral.
- B. **Extensions.** Nothing in this Agreement shall be interpreted or deemed to create an expectation that this Agreement will be extended beyond the term described herein.
- C. **Force Majeure.** Neither party shall be liable for failure to perform under this Agreement if such failure to perform arises out of causes beyond the control and without the fault or negligence of the nonperforming party. Such causes may include, but are not limited to, acts of God or the public enemy, fires, floods, epidemics, quarantine restrictions, freight embargoes, and unusually severe weather. This provision shall become effective only if the party failing to perform immediately notifies the other party of the extent and nature of the problem, limits delay in performance to that required by the event and takes all reasonable steps to minimize delays.
- D. **Notices.** All notices arising out of, or from, the provisions of this Agreement shall be in writing either by certified mail or delivery in person at the addresses provided under this Agreement.
- E. **Notice of Sale or Transfer.** GK shall provide BOPU with notice of any sale, transfer, merger, or consolidation of the assets of GK *provided*, that for the avoidance of doubt a merger, consolidation, amalgamation or similar transaction affecting U.S. Gold. Corp. or its subsidiaries (other than GK) shall not require notice under this Section 10E. Such notice shall be provided in accordance with the notices provision of this Agreement and, when possible and lawful, in advance of the transaction. If BOPU

determines in good faith that the sale, transfer, merger, or consolidation is not consistent with the continued satisfactory performance of the GK's obligations under this Agreement, then BOPU may, at its discretion, terminate or renegotiate the Agreement. BOPU must notify GK of its intent to terminate or renegotiate the Agreement within 60 days of the notice provided by GK pursuant to this paragraph.

In the event this Agreement is transferred, then BOPU will require a new outside user water services agreement that must be approved by the BOPU Board and the City of Cheyenne, pursuant to WYO. STAT. §15-7-404 (a) and Title 13 of the Cheyenne City Code.

- F. **Sovereign Immunity and Limitations.** Pursuant to Wyo. Stat. § 1-39-104(a), the BOPU and the City of Cheyenne expressly reserve sovereign immunity by entering into this Agreement and specifically retain all immunities and defenses available to them as sovereigns. The BOPU and the City of Cheyenne are governmental entities as defined by W.S. §1-39-101. By entering into this Agreement, the BOPU and the City of Cheyenne reserve all immunity provided for by said Act, except as provided for performance under this contract as set forth in W.S. §1-39-104(a). The parties agree that any ambiguity in this Agreement shall not be strictly construed, either against or for either party, except that any ambiguity as to sovereign immunity shall be construed in favor of sovereign immunity.
- G. **Third-Party Rights.** The Parties do not intend to create in any other individual or entity the status of third-party beneficiary, and this Agreement shall not be construed so as to create such status. The rights, duties and obligations contained in this Agreement shall operate only between the parties to this Agreement, and their successors and assigns, and shall inure solely to the benefit of the parties to this Agreement and their successors and assigns. The parties to this Agreement intend and expressly agree that only the party's signatory to this Agreement, and their successors and assigns, shall have any legal or equitable right to seek to enforce this Agreement, to seek any remedy arising out of a party's performance or failure to perform any term or condition of this Agreement, or to bring action for breach of this Agreement.
- H. **Collateral Assignment.** Notwithstanding anything herein to the contrary, GK may collaterally assign its rights and obligations under this Agreement in connection with any financing arrangement obtained in connection with the Mine, *provided* that any

counterparty to such financing arrangements agrees to be bound by the terms of this agreement and the outside user water services agreement to which GK is a party.

- I. **Time is of the Essence.** Time is of the essence in all provisions of this Agreement.
- J. **Titles Not Controlling.** Titles of sections and subsections are for reference only and shall not be used to construe the language in this Agreement.
- K. **Waiver.** The waiver of any breach of any term or condition in this Agreement shall not be deemed a waiver of any prior or subsequent breach. Failure to object to a breach shall not constitute a waiver.
- L. **Counterparts.** This Agreement may be executed in counterparts. Each counterpart, when executed and delivered, shall be deemed an original and all counterparts together shall constitute one and the same Agreement. Delivery by the GK of an originally signed counterpart of this Agreement by facsimile or PDF shall be followed up immediately by delivery of the originally signed counterpart to BOPU. The GK's failure to deliver, either personally or via US Mail, postage prepaid, the originally signed counterpart to BOPU within five (5) business days shall be considered a material breach and may result in immediate termination of this Agreement by BOPU.
- M. **Venue and Jurisdiction.** Any dispute between the parties arising pursuant to this Agreement shall be brought in the First Judicial District Court, Laramie County, Wyoming.
- N. **Notices.** Notices to or by the parties shall be given by registered or certified mail, return receipt requested, and shall be effective as of the date of receipt thereof, addressed as follows:

Gold King Corp
1910 East Idaho Street
Suite 102, Box 604
Elko, NV 89801

City of Cheyenne Board of Public Utilities
2416 Snyder Avenue
Cheyenne, WY 82001

11. **Signatures.** The parties to this Agreement, either personally or through their duly authorized representatives, have executed this Agreement on the dates set out below, and certify that they have read, understood, and agreed to the terms and conditions of this Agreement.

12. **Severability.** In the event that any provision of this Agreement (or portion thereof) is determined by a court of competent jurisdiction to be invalid or otherwise unenforceable, such provision (or part thereof) shall be enforced to the extent possible consistent within the stated

intention of the parties, or if incapable of such enforcement, shall be deemed to be deleted from this Agreement, while the remainder of this Agreement shall continue in full force and remain in effect according to its stated terms and conditions.

13. **Modification of Agreement:** This Agreement may be modified at the discretion of the Parties only in writing signed by the Parties.

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GOLD KING CORP

Director

Date

State of)
)ss
County of)

Subscribed and sworn before me this _____ day of _____, 20____.

Notary Public

My Commission Expires: _____

CHEYENNE BOARD OF PUBLIC UTILITIES

Director

Date

State of Wyoming)
)ss
County of Laramie)

Subscribed and sworn before me this _____ day of _____, 20____.

Notary Public

My Commission Expires: _____